

CAUSE NO. 2023-82195

KIMBERLEY GURRY, Individually and Derivatively on behalf of BAYBROOK WAREHOUSES I, LLC, GURRY COMMERCIAL INVESTMENTS, INC., GURRY GROUP, LLC, GURRY MECHANICAL, L.P., and GURRY MECHANICAL, INC. f/k/a THE KEN GURRY CORPORATION; BAYBROOK WAREHOUSES I, LLC; GURRY COMMERCIAL INVESTMENTS, INC.; GURRY GROUP, LLC; GURRY MECHANICAL, L.P.; GURRY MECHANICAL, INC. f/k/a THE KEN GURRY CORPORATION; and KIMBERLEY GURRY, as Independent Administrator of the Estate of KENNETH JAMES GURRY, JR.

Plaintiffs,

v.

JAY DALE,

Defendant.

IN THE DISTRICT COURT OF

HARRIS COUNTY, TEXAS

190th JUDICIAL DISTRICT

**PLAINTIFFS' MOTION FOR ENFORCEMENT BY CONTEMPT
— AND —
REQUEST FOR ISSUANCE OF ORDER TO SHOW CAUSE**

TO THE HONORABLE JUDGE OF SAID COURT:

Plaintiffs, KIMBERLEY GURRY, Individually and Derivatively on behalf of BAYBROOK WAREHOUSES I, LLC, GURRY COMMERCIAL INVESTMENTS, INC., GURRY GROUP, LLC, GURRY MECHANICAL, L.P., and GURRY MECHANICAL, INC. f/k/a THE KEN GURRY CORPORATION; BAYBROOK WAREHOUSES I, LLC; GURRY COMMERCIAL INVESTMENTS, INC.; GURRY GROUP, LLC; GURRY MECHANICAL,

L.P.; GURRY MECHANICAL, INC. f/k/a THE KEN GURRY CORPORATION; and KIMBERLEY GURRY, as Independent Administrator of the Estate of KENNETH JAMES GURRY, JR. (collectively “Plaintiffs”)¹, file this motion to obtain enforcement of the Agreed Temporary Injunction issued on December 12, 2023 (“Agreed TI”) and, in support hereof, attach the Affidavit of Victoria G. Whiddon, one of Plaintiffs’ attorneys of record, pursuant to Rule 692 of the Texas Rules of Civil Procedure and further respectfully show the Court as follows:

I. INTRODUCTION

JAY DALE has violated the Agreed Temporary Injunction (“Agreed TI”) entered by this Court on December 12, 2023 by: (1) altering/modifying federal tax filings; (2) failing and refusing to release documents subject to an order of production per the Agreed TI; and (3) refusing to abide by the specific procedure set forth in the Agreed TI with regard to withholding any information. JAY DALE actively and specifically concealed his modification of federal tax filings for BAYBROOK by way of timing and manner of production. The alteration/modification is egregious—it essentially removes KIM GURRY as a 50% member/owner of BAYBROOK **and** purports to alter her ownership interest going back to 2020 when her late husband was still alive—and has significant consequences both (i) legally—for which she sought injunctive relief from this Court in the first place, and (ii) with federal income tax and the Internal Revenue Service.

These modifications/alterations regarding BAYBROOK show on the altered tax return, which is one of the bases of this Motion, that KEN GURRY owns 100% of BAYBROOK and the alteration/modification, as it stands, represents, to at least the Internal Revenue Service, that KIM GURRY (and her deceased husband, Jay Gurry) did not own or have a membership interest in BAYBROOK—further allowing KEN GURRY to transfer the real property that BAYBROOK owned to the Kenneth and Nedra Gurry Revocable Trust—essentially facilitating theft and concealing its existence, which further shows JAY DALE’s lack of independence, breaches of his fiduciary duties, and how intimately involved JAY DALE is with KEN GURRY.²

As such, Plaintiffs request that the Court enter orders that JAY DALE and KEN GURRY

¹ For ease of reference to the non-natural Plaintiffs, Plaintiffs use the term “**Gurry Entities**” herein, which collectively refers to: BAYBROOK WAREHOUSES I, LLC (“BAYBROOK”); GURRY COMMERCIAL INVESTMENTS, INC. (“GURRY COMMERCIAL”); GURRY GROUP, LLC (“GURRY GROUP”); GURRY MECHANICAL, L.P. (the “PARTNERSHIP”); and GURRY MECHANICAL, INC. f/k/a KEN GURRY CORPORATION (“GURRY MECHANICAL”).

² The conduct set forth herein further solidifies that described in *Plaintiffs’ First Amended Petition, Application for Temporary Restraining Order, Temporary Injunction, and Permanent Injunction* (“Plaintiffs’ First Amended Petition”) and First Supplement thereto as to JAY DALE and KEN GURRY. This is why Plaintiffs combined their case against KEN and NEDRA GURRY into this lawsuit against JAY DALE, as discussed at length in Plaintiffs’ filings that were the subject of the hearing before this Court on January 13, 2025.

appear before the Court and show cause as to why they each should not be held in contempt of Court for their conduct in direct violation of this Court's Agreed TI.

II. RELEVANT PARTY INFORMATION

Defendant JAY DALE ("JAY DALE") has answered this lawsuit, appeared herein, and is currently represented by counsel, Joshua R. Stein, ("Mr. Stein") who appeared as counsel for JAY DALE in this lawsuit on December 23, 2023. JAY DALE may be personally served at his place of business located at 3100 Richmond Avenue #110, Houston, Texas 77098, or wherever he may be found.

Defendant KENNETH J. GURRY, SR. a/k/a KEN GURRY, Individually and as Trustee of the Kenneth and Nedra Gurry Revocable Trust, ("KEN GURRY") has answered this lawsuit,³ appeared herein, and is currently represented by counsel, William S. Helfand (a/k/a Bill Helfand) of Lewis Brisbois Bisgaard & Smith LLP whose principal place of business is located at 24 Greenway Plaza, Suite 1400, Houston, Texas 77046.⁴ KEN GURRY may be personally served at his residence located at 2118 Firestone Court, League City, Texas 77598, or wherever he may be found.

Plaintiffs have experienced that both JAY DALE and KEN GURRY have a history of evading personal service. As such, should the Court issue any order to show cause pursuant to Rule 692 of the Texas Rules of Civil Procedure, Plaintiffs request that JAY DALE and KEN GURRY's respective counsel arrange for a date and time certain for personal service of any such

³ KEN GURRY's (as well as Defendant NEDRA GURRY's) answer is subject to a baseless "Special Appearance," to which KEN GURRY's counsel conceded at the hearing before this Court on January 13, 2025. Plaintiffs are waiting for the Court's entry of an order striking the baseless "Special Appearance."

⁴ Mr. Helfand is also outside counsel to the City of Pasadena, Texas and JAY DALE just so happens to be the City Attorney for the City of Pasadena. JAY DALE referred Mr. Helfand to KEN GURRY. *Ex. 6*, Dale ROG Ans. at p. 3 (ROG No. 4).

order to show cause; should counsel fail to do so, Plaintiffs would request that the Court issue a writ of attachment for such person pursuant to Rule 692 of the Texas Rules of Civil Procedure. TEX. R. CIV. P. 692.

III. AGREED TEMPORARY INJUNCTION

On **December 12, 2023**, JAY DALE, an attorney licensed to practice law in the State of Texas, appeared before the Court at the hearing on Plaintiffs' application for temporary injunction. At the hearing, JAY DALE entered into an agreement with Plaintiffs on their application for injunctive relief and agreed to both the form and substance of the Agreed TI. *Aff. Whiddon (TRCP 692) at Ex. A*, Agreed TI at pp. 2-3 & 19-20. As a result, that same day, the Court duly rendered and entered the Agreed TI against JAY DALE, specifically noting the agreement of the Parties and the findings to which JAY DALE agreed, and set bond at \$500.00, which Plaintiffs previously tendered cash in lieu of bond to the District Clerk in satisfaction of the bond on the Agreed TI. *Id. at Ex. A*, Agreed TI at pp. 2-3 & 19-20. As further evidenced by his handwritten signature and initialed notation on the Agreed TI, JAY DALE was present before the Court when the Court issued the Agreed TI, was fully aware of its issuance, and specifically agreed to its form and substance. *Id. at Ex. A*, Agreed TI at pp. 19-20.

Pursuant to Rule 692 of the Texas Rules of Civil Procedure, Plaintiffs submit the Affidavit of Victoria G. Whiddon, one of Plaintiffs' attorneys, who sets forth the specific enjoined acts under the Agreed TI and Plaintiffs refer to said Affidavit as support for this Motion and, for brevity's sake, do not regurgitate said provisions set forth therein, herein. *See Aff. Whiddon (TRCP 692) at pp. 3-12 (¶¶ 12-15) & Ex. A*, Agreed TI at pp. 3-18.

— *The Safeguard Protocol* —

Due to concerns regarding JAY DALE’s joint representation of Plaintiffs and others, and in light of JAY DALE’s provision of legal and accounting/tax services to the Gurry Entities, as well as KIM and KEN (and NEDRA) GURRY personally, JAY DALE and Plaintiffs’ Counsel discussed the terms and scope of the foregoing document/information release order at length with the Court to ensure that the Agreed TI provided a fail-safe procedure for JAY DALE to use with respect to any document or piece of information that JAY DALE may consider privileged⁵ or confidential to a third party. In fact, to reiterate and confirm the necessity and importance of such a fail-safe procedure, the Court specifically ordered that JAY DALE do as follows:

It is **FURTHER ORDERED** that the production of information ordered herein, as to Kenneth J. Gurry, Sr. and Nedra Gurry, shall exclude any information that is solely personal in nature and does not concern any of the Plaintiffs, in any way; Defendant JAY DALE may submit any questionable documents to the Court for *in camera* review in the same manner as ordered hereinabove.

Id. at *Ex. A*, Agreed TI at pp. 11 & 18 (“Safeguard Protocol”)

**IV.
FACTUAL SUMMARY**

Plaintiffs incorporate by reference, as if fully set forth herein, all of the facts presented in *Plaintiffs’ First Amended Petition*, which was filed on August 29, 2024; specifically, without limitation, Plaintiffs would refer the Court to the facts set forth in paragraphs 37-44 and 107-110 therein. In addition, Plaintiffs incorporate by reference, as if fully set forth herein, all of the facts presented in *Plaintiffs’ First Supplement to First Amended Petition, Application for Temporary Restraining Order, Temporary Injunction, and Permanent Injunction* (“Plaintiffs’ First

⁵ This is despite JAY DALE’s prior contention and testimony that he did not act in an attorney capacity.

Supplement to First Amended Petition”).⁶

1. JAY DALE’s Initial Compliance Proves to be Short-Lived

The Court’s entry of the Agreed TI assured Plaintiffs that JAY DALE would release the documents ordered to be produced and that he (and anyone acting in concert with him) would refrain from destroying, altering, manipulating, and/or sharing with or disclosing to any third party any of the information listed therein and. Considering his explicit agreement thereto, Plaintiffs had no reason not to believe that JAY DALE would fully comply with the Agreed TI. After all, the consequences for disobeying the Agreed TI were severe.

On **December 14, 2023**, pursuant to the Agreed TI, JAY DALE produced a large electronic file to Plaintiffs’ Counsel (“Initial Released Docs”).⁷ Initially, it appeared that JAY DALE would (and wanted to) comply with the Agreed TI and abide by its terms. After all, the Initial Released Docs seemed to have quite a bit of information and seemed to be a good faith effort on JAY DALE’s part to comply with the Agreed TI.⁸ Nonetheless, upon review of the Initial Released Docs, it became readily apparent that JAY DALE did not release all of the information ordered under the Agreed TI. One such category of information that JAY DALE failed to satisfy included the “back-up copies for any and all electronically-stored accounting ledger files” for the persons

⁶ Plaintiffs request that the Court take judicial notice of *Plaintiffs’ First Amended Petition* and *First Supplement to First Amended Petition*, and of the other pleadings and documents that Plaintiffs have filed that appear on the Court’s docket and in its record in the above-numbered and referenced cause.

⁷ JAY DALE appeared in this case *pro se* on **December 8, 2023** by filing “*Defendant’s Verified Response and Motion to Dissolve*” (“JAY DALE’s Original Verified Answer”). That same day, by courier, JAY DALE delivered a copy of various documents to Plaintiffs’ Counsel, which JAY DALE contended were the only documents that “22 TAC 501” required him, as a CPA, to turn over, despite any obligation under the Temporary Restraining Order entered against him (these documents are referred to herein as the “Pre-TI Production”). See *App. 1, Dale’s Orig. Verif. Ans.* at ¶¶ 2, 8, 10, 16, 17, & 19.

⁸ This is especially the case since the Initial Released Docs confirmed (1) Plaintiffs’ belief that JAY DALE’s Pre-TI Production was *severely deficient*; and (2) that, prior to the Court’s issuance of the Agreed TI, JAY DALE was clearly playing games (as evidenced by the absurd position and statements in his Original Verified Answer, which Plaintiffs refused to entertain).

listed therein. *Aff. Whiddon (TRCP 692) at Ex. A*, Agreed TI at p. 13 (f). Importantly, however, JAY DALE did not use the Safeguard Protocol set forth in the Agreed TI, nor did he advise Plaintiffs that he withheld anything. *Aff. Whiddon (TRCP 692) at ¶ 13*.

On **December 23, 2023**, JAY DALE filed his *Amended Verified Original Answer and Plea in Abatement* (“JAY DALE’s Amended Verified Answer”) wherein Mr. Stein appeared as counsel for JAY DALE. *See generally App. 2*, Dale’s Am. Verified Ans.

On **December 29, 2023**, fifteen (15) days after his production of the Initial Released Docs, Plaintiffs’ Counsel emailed Mr. Stein, JAY DALE’s attorney, to request that JAY DALE supplement his production under the Agreed TI with the electronic back-up and current QuickBooks and other accounting ledger files. *Aff. Whiddon (TRCP 692) at ¶ 10; Ex. 1*, Email Corresp. re Compliance at pp. 3-4.

On **January 1, 2024**, Mr. Stein responded to the email advising that JAY DALE, with whom he apparently met that day, had no such files—everything was “in xlsx or pdf formats.” *Ex. 1*, Email Corresp. re Compliance at p. 2. Mr. Stein further stated that JAY DALE had “no additional documents to produce” and that JAY DALE “fully complied with the TRO.” *Id.*; *Aff. Whiddon (TRCP 692) at ¶ 16*. Nevertheless, after some phone calls between counsel, JAY DALE did in fact have some QuickBooks files because, later that same day, Mr. Stein followed up with an email attaching the QuickBooks Backup files for (1) GURRY MECHANICAL and (2) the PARTNERSHIP. *Ex. 1*, Email Corresp. re Compliance at p. 1; *Aff. Whiddon (TRCP 692) at ¶ 16*. To date, however, JAY DALE has not produced all of the electronic-backup or even the current accounting ledger files for BAYBROOK, GURRY COMMERCIAL, and/or GURRY GROUP.⁹

⁹ Interestingly, with respect to accounting ledger files pertaining to BAYBROOK, despite having provided BAYBROOK with accounting, legal, and tax services for well over twenty (20) years, JAY DALE only produced two Excel files—one from 2011 and another from 2021—that contain any accounting ledger information. *App. 1*, Dale’s Verified Ans. at *Ex. A*, *Aff. Dale at ¶ 2*.

See *Aff. Whiddon (TRCP 692)* at *Ex. 1*, Agreed TI at p. 13 (f).

2. Attempts to Destroy Material Evidence Fail and JAY DALE Falls into the Hot Seat

In hindsight, JAY DALE’s compliance with the Agreed TI was short lived...as Plaintiffs learned in discovery and through other events and filings in a separate, formerly pending lawsuit against KEN GURRY—the Galveston I Lawsuit.¹⁰ Despite JAY DALE’s staunch position that he never provided legal services to any of the Gurry Entities or KIM GURRY and that he has always maintained his legal duty of absolute independence as an accountant, JAY DALE was apparently acting as co-counsel alongside Mr. Helfand representing KEN GURRY (and KEN GURRY’s interests) in the Galveston I Lawsuit the entire time—something that JAY DALE failed to mention to Plaintiffs and this Court! See *Ex. 2*, *Aff. Helfand* (2024.06.12) at ¶¶ 3-5.

In fact, Mr. Helfand even swears under penalty of perjury that he has “personal knowledge” that JAY DALE apparently was and still is acting as counsel on behalf of KEN GURRY as *co-counsel* in the Galveston I Lawsuit. See *id.* at ¶¶ 3-5. Of course, JAY DALE never disclosed this detail to Plaintiffs—or this Court—who only first learned of this new, about-face position on **June 12, 2024** by way of Mr. Helfand’s Affidavit. Exceptionally interesting is the fact that Mr. Helfand filed this Affidavit in the Galveston I Lawsuit in support of KEN GURRY’s motion to compel the destruction of documents that JAY DALE produced to Plaintiffs—that is, the Initial Released Docs.¹¹ See generally *Ex. 3*, KG’s Mot. Destroy Docs.

In effect, Mr. Helfand’s testimony, predicated on his own personal knowledge, provides that JAY DALE has breached and continues to breach his fiduciary duties owed to Plaintiffs, which

¹⁰ As used herein, the term “Galveston I Lawsuit” refers to the now nonsuited lawsuit styled as: Cause No. 23-CV-0377; *Kim Gurry, et al. v. Ken Gurry*; In the 212th Judicial District Court of Galveston County, Texas.

¹¹ KEN GURRY never intervened or sought relief from this Court related to the Initial Released Docs or JAY DALE’s obligation under the Agreed TI.

is wholly and completely inconsistent with his prior *and* current representations to the Court. *Ex. 2*, Aff. Helfand at ¶ 1. To be sure, a quick comparison of JAY DALE’s prior testimony (dated December 8, 2023) to that of Mr. Helfand reveals as much:

- Dale at no time was an attorney to Plaintiffs but has only provided professional services permitted by a CPA under Texas law. *App. 1*, Dale’s Verified Ans. at ¶ 1; *contra Ex. 2*, Aff. Helfand at ¶ 3 (“**Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry’s companies**”).
- Plaintiff has wrongfully alleged that Plaintiff has the attorney-client relationship to Dale and “Dale has never provided legal services to Plaintiffs...”. *App. 1*, Dale’s Verified Ans. at ¶ 5; *contra Ex. 2*, Aff. Helfand at ¶ 3 (“**Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry’s companies**”).
- Dale provided professional accounting services to Plaintiffs not legal services...” never included legal services”. *App. 1*, Dale’s Verified Ans. at ¶ 6; *contra Ex. 2*, Aff. Helfand at ¶ 3 (“**Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry’s companies**”).
- “Dale is not a fiduciary to Plaintiffs as a matter of law because Dale is obligated to always remain independent when performing professional services as a CPA.” *App. 1*, Dale’s Verified Ans. at ¶ 12; *contra Ex. 2*, Aff. Helfand at ¶¶ 4 & 5 (**Mr. Jay Dale, as Ken Gurry’s attorney; Mr. Dale is the referring co-counsel to consult on this matter**).
- “Dale/CPA is required by law to remain independent of the Plaintiff clients and therefore is not a fiduciary as a matter of law” and “Plaintiffs have no evidence otherwise.” *App. 1*, Dale’s Verified Ans. at ¶ 14 (emphasis in original); *contra Ex. 2*, Aff. Helfand at ¶¶ 3-5 (**Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry’s companies; Mr. Jay Dale, as Ken Gurry’s attorney; Mr. Dale is the referring co-counsel to consult on this matter**).
- No reasonable person could believe the facts pled to establish the attorney-client relationship between Dale and the Plaintiffs.... *App. 1*, Dale’s Verified Ans. at ¶ 26(b); *contra Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI (entered after seeing evidence against him); *Ex. 2*, Aff. Helfand at ¶ 3 (“**Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry’s companies**”).
- Dale at all times remained independent of each of the Plaintiffs. *App. 1*, Dale’s Verified Ans. (*Ex. A thereto* at ¶ 2); *contra Ex. 2*, Aff. Helfand at ¶¶ 3-5 (**Mr.**

Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry's companies; Mr. Jay Dale, as Ken Gurry's attorney; Mr. Dale is the referring co-counsel to consult on this matter).

- Dale did not provide legal services to any of Plaintiffs. *App. 1*, Dale's Verified Ans. (*Ex. A thereto* at ¶ 4); *contra Ex. 2*, Aff. Helfand at ¶ 3 (**"Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry's companies"**).
- Plaintiff[s]' claims of attorney-client relationship, fiduciary relationship and duty are factually unsupported. *App. 1*, Dale's Verified Ans. (*Ex. A thereto* at ¶ 5); *contra Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI (**entered after seeing evidence against him**); *Ex. 2*, Aff. Helfand at ¶ 3 (**"Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry's companies"**).
- Dale never had any attorney client relationship with Plaintiffs. *App. 1*, Dale's Verified Ans. (*Ex. A thereto* at ¶ 8); *contra Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI (**entered after seeing evidence against him**); *Ex. 2*, Aff. Helfand at ¶ 3 (**"Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry's companies"**).
- Dale had no fiduciary relationship to Plaintiffs. *App. 1*, Dale's Verified Ans. (*Ex. A thereto* at ¶ 11); *contra Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI (**entered after seeing evidence against him**); *Ex. 2*, Aff. Helfand at ¶ 3 (**"Mr. Jay Dale served as both an attorney and accountant for Ken Gurry and Ken Gurry's companies"**).

To date, JAY DALE has not specifically conceded Mr. Helfand's point but, by way of the Affidavit of Mr. Helfand, JAY DALE must be co-counsel for KEN GURRY because KEN GURRY needs to leverage JAY DALE as a pawn to cloak discussions under the veil of attorney-client privilege so that he can conceal whatever JAY DALE has not yet produced and have grounds on which he can seek to secure the destruction of the information (*i.e.*, evidence) that JAY DALE did produce to Plaintiffs—information that links their conspiracy, action in concert, and respective and collective breaches of fiduciary duty and fraud.

3. *The Right Hand Clearly Isn't Talking to The Left...or Is It?*

On **August 20, 2024**, JAY DALE served Plaintiffs with his answers to KIM GURRY's First Set of Interrogatories, responses to Plaintiffs' First Set of Requests for Production, and a large electronic file that included, among other things, federal income tax returns for the 2012-2014 and 2016-2023 tax years that JAY DALE prepared for one or more of the Plaintiffs ("August Production").¹² See **Ex. 5**, Dale RFP Resps. at p.1; **Ex. 6**, Dale ROG Ans. at p. 1. By way of his "Answers to Request for Production Nos. 1 – 414" and "Response to Interrogatories," JAY DALE essentially confirms that he meticulously cherry-picked which documents (and versions) to produce and which to withhold.

Contrary to months of insisting that he has only acted an accountant and, as such, has always remained independent, in his answers to Interrogatory Nos. 4 and 5, JAY DALE confirms that he "has been **Ken Gurry's accountant for many years**" and that he has "**performed legal services**" and provided "**legal advice related to his accounting services**" to KEN GURRY since "**January 1, 2020**."¹³ **Ex. 6**, Dale Ans. ROGs at p. 3 (ROG No. 5). Better yet, JAY DALE now withholds all responsive documents on the basis of attorney-client privilege to sixty-six (66) different requests for production. **Ex. 5**, Dale RFP Resps. at pp. 5, 7, 9, & 14-20 (responses to RFP Nos. 61-72, 96-99, 131-133, 226-239, 241-242, 249-257, 266-269, 302-319).¹⁴

¹² JAY DALE did not produce any tax returns for any person/entity for the 2015 tax year.

¹³ Even more interesting, however, is that JAY DALE also states under penalty of perjury that Jay Gurry told him to provide financial information to KEN GURRY...during a time period in which Jay Gurry was deceased. **Ex. 6**, Dale's ROGs at p. 3 (ROG No. 6). He also states that as the basis for his dissemination of documents to Mr. Helfand in his answer to Interrogatory Requesting Identification of Documents Nos. 26-34. *Id.* at pp. 8-9 (note –scrivener's errors in numeration is after no. 28).

¹⁴ See also **Ex. 4**, Pltfs.' RFP to Dale at pp. 23-25, 29, 34-35, 51-56, 58-59, & 64-67 (providing Plaintiffs' actual requests for production to which JAY DALE objected on said basis); **Aff. Whiddon (TRCP 692)** at ¶ & **Ex. B**, RFP Ref. Table.

For ease of reference, **Exhibit B** attached to the **Affidavit of Victoria G. Whiddon (TRCP 692)** made in support hereof contains each request for production to which JAY DALE asserted the attorney-client privilege and withheld all

As would later be revealed, JAY DALE concealed and withheld numerous, material documents from Plaintiffs that would not only confirm JAY DALE violated the Agreed TI on more than one occasion (and continues to do so), but that he, at the very least, aided and abetted KEN GURRY in the theft of KIM GURRY's (and BAYBROOK's) property! *See Ex. 7*, Aff. Faust at ¶¶ 14-15 & 19-21 (referencing *Exs. 10-12* thereto). You see, although the significance was unappreciated at the time, for BAYBROOK—and BAYBROOK alone—JAY DALE purposefully included the versions of the tax returns that he previously produced as part of the Initial Released Docs, which do in fact reflect KIM GURRY's membership in, fifty percent (50%) ownership interest of, and capital account with BAYBROOK—in other words, the versions that would not have raised red flags with Plaintiffs.

Circumstances as they may be, Plaintiffs independently discovered that there was in fact something afoot with BAYBROOK—that being, KEN GURRY's conveyance of BAYBROOK's real property (not the Baybrook Amended II Return), which resulted in Plaintiffs' non-suit of the Galveston I Lawsuit and joinder of KEN GURRY and NEDRA GURRY and all related claims in this case—especially since the real property is located here in Harris County.¹⁵

4. The gig is up! JAY DALE gets caught red-handed.

On or about **October 6, 2024**, Mr. Jordan Faust, KIM GURRY's Certified Public Accountant, received an email from JAY DALE with an attachment that purported to be an amended partnership income tax return for BAYBROOK that JAY DALE prepared for the 2023

responsive documents. Plaintiffs cross-reference these requests with some of the applicable categories of documents that the Court ordered to be released under the Agreed TI or enjoined JAY DALE from sharing with or disclosing to third parties to illustrate the nature of JAY DALE's failure to comply with the Agreed TI and its Safeguard Protocol.

¹⁵ Once Plaintiffs non-suited the Galveston I Lawsuit, KEN GURRY's Counsel knew that Plaintiffs would join him and NEDRA GURRY as Defendants in this lawsuit and that such joinder was imminent. *Ex. 8*, Transcript (Galveston I Lawsuit – 2024.08.23) at 46:14-18.

tax year, which was date/time stamped “08/17/2024 4:50 PM” on each page (“Baybrook Amended II Return”). *Ex. 7*, Aff. Faust at ¶ 13. ***This document was not produced to Plaintiffs’ Counsel!*** In looking over the Baybrook Amended II Return, Mr. Faust, who has knowledge of Baybrook’s tax returns from previous years, immediately made numerous observations—all of which raised alarm. *Id.* at ¶ 13. One of the most concerning observations, however, was the Baybrook Amended II Return’s complete removal and omission of any mention of KIM GURRY. *Id.* at ¶ 21.

Thereafter, upon further examination of the August Production, it became readily apparent that for BAYBROOK—and BAYBROOK alone—JAY DALE specifically excluded the “08/17/2024” version of BAYBROOK’s tax returns for the 2020-2023 tax years.¹⁶ In fact, a closer look at the electronic properties of the documents contained in the August Production reveals that, on August 17, 2024, JAY DALE exported copies of the tax returns for each of the other Gurry Entities, *except for* those for BAYBROOK for the 2016-2018 and 2020-2023 tax years.

Nevertheless, as reflected by the Baybrook Amended II Return (which JAY DALE did not produce to Plaintiffs), JAY DALE did in fact export BAYBROOK’s tax return for at least the 2023 tax year on August 17, 2024; yet, he specifically excluded that version from his August Production. In lieu of the “08/17/2024” version of BAYBROOK’s 2023 tax return, which omits KIM GURRY entirely, JAY DALE opted to produce a version that is date/time stamped “05/29/2024 9:23 AM,” which does *not* omit KIM GURRY (the “Baybrook Amended I Return”). *See Ex. 7*, Aff. Faust at ¶ 19 (referencing *Exs. 10 and 12* thereto). Likewise, for each of BAYBROOK’s tax returns for the 2020-2022 tax years, JAY DALE specifically excluded the “08/17/2024” version and included

¹⁶ For reasons unknown at this time, JAY DALE includes a “08/17/2024” version of BAYBROOK’s tax return for the 2012-2014 and 2019 tax years, but excluded said version for the 2016-2018 and 2020-2023 tax years. With respect to all of the other Gurry Entities and for KIM GURRY, JAY DALE produced a “08/17/2024” version of each of those tax returns; he did not opt to produce the “12/13/23” version for any of them.

another instead.¹⁷ The versions of BAYBROOK's tax returns that JAY DALE included in his August Production would not have raised (and did not raise, initially) immediate red flags, especially since those versions included in the August Production produced to Plaintiffs properly evidenced and reflected KIM GURRY's membership, fifty percent (50%) ownership interest, and capital account in BAYBROOK.¹⁸

5. Transparency is Key. Plaintiffs Advise Mr. Stein.

On or about **December 11, 2024**, after discovering that JAY DALE had altered and manipulated BAYBROOK's 2023 tax return to unilaterally remove KIM GURRY, Plaintiffs' Counsel contacted Mr. Stein to apprise him of their discovery regarding his client's conduct and discuss the situation. Following a conversation between counsel, Plaintiffs' Counsel emailed Mr. Stein a copy of the Baybrook Amended I and II Returns and requested an immediate response regarding the same in light of the Agreed TI. *Ex. 9*, Email Corresp. re Baybrook (2024.12.11) at pp. 1-2. In addition, Plaintiffs' Counsel requested that JAY DALE supplement his responses to the Agreed TI, as well as certain requests for production, in light of his apparent conduct and related communications with KEN GURRY regarding BAYBROOK. *Id.* The next day, Plaintiffs' Counsel followed up with Mr. Stein by phone regarding their request that JAY DALE supplement his production to discuss the requested timing of such supplemental production.

Nevertheless, by **January 6, 2025**, JAY DALE still had not supplemented his production and had not provided any indication that he intended to do so. As such, that same day, Plaintiffs'

¹⁷ JAY DALE did this for 2016-2018 as well. Notably, however, JAY DALE did not include a stand-alone .PDF version of the 2022 tax return in the Initial Released Docs; he did, however, produce BAYBROOK's 2022 tax return by way of an email to KIM GURRY dated June 21, 2023 in which said Return was attached.

¹⁸ For the 2016-2020 tax years, KIM GURRY's ownership of the 50% membership interest in BAYBROOK is by and through that of her late husband, Kenneth J. Gurry, Jr. a/k/a Jay Gurry ("Jay Gurry"), who owned the 50% membership interest in BAYBROOK, which she acquired as a result of his death on July 26, 2020. *See Aff. K. Gurry* (filed with the Court on 2023.11.29) at ¶ 4; *Pltfs.' First Am. Pet.* at ¶ 2.a.

Counsel sent a follow up email to Mr. Stein requesting the status of JAY DALE's supplemental production under the Agreed TI and discovery. *Ex. 10*, Email Corresp. re Baybrook at pp. 2-3. In an effort to procure some sort of supplement or response from JAY DALE, Plaintiffs' Counsel shortened and narrowed the list of documents that they requested he supplement; however, Mr. Stein did not respond. *Id.*

6. JAY DALE Still Refuses to Comply.

On or about **January 13, 2025**, this Court held a hearing on *Plaintiffs' Motion to Confirm Venue, Strike Special Appearance, and Application for Attorneys' Fees* ("Plaintiffs' Motion re Venue") and JAY DALE's Motion to Transfer.¹⁹ As the Court may recall, during this hearing, Plaintiffs' Counsel notified the Court of their findings with respect to JAY DALE's violations of the Agreed TI involving what appears to be the fabrication of federal tax filings (*e.g.*, the creation of the Baybrook Amended II Return) and fraudulent concealment thereof, among other things. At said hearing, all Parties' Counsel were present and were put on notice of JAY DALE's conduct and this ensuing Motion.

Nonetheless, despite all of the foregoing, JAY DALE still refuses to comply with the Agreed TI and, despite their efforts, Plaintiffs have gotten nowhere with JAY DALE. In fact, JAY DALE will not even comply with Safeguard Protocol—the protocol (1) that he specifically requested so that he would not run afoul of any rules of professional conduct, and (2) by which he is ordered to abide in the face of any uncertainty regarding any document subject to disclosure under the Agreed TI. *Aff. Whiddon (TRCP 692)* at *Ex. A*, Agreed TI at pp. 11 & 19.

¹⁹ In support of venue, Plaintiffs have filed their *Motion to Confirm Venue*, seeking to confirm venue because, among other bases, upon the nonsuit of the Galveston I Lawsuit, this became the first filed suit, mandatory venue applies (TEX. CIV. PRAC. & REM CODE at §§ 15.001(b)(1) & 15.011), the transactions and occurrences forming the basis of Plaintiffs' claims occurred in Harris County (*id.* at § 15.002(a)(1)), and venue in Harris County would be (and is) the most convenient venue for all parties (*id.* at § 15.002(b)).

To be sure, on or about **January 15, 2025**, Plaintiffs' Counsel emailed Mr. Stein—

On Wed, Jan 15, 2025, 10:56AM Victoria Whiddon <victoria@sovanylaw.com> wrote:

Josh –

I'm following up on my email below. Please advise as to whether Jay Dale intends to supplement discovery and when he will produce the specific documents identified below to us. With respect to the specific documents identified in #3 below, it would probably be more efficient for Jay Dale to go ahead and provide us with the audit trail for the tax software that he used, which we requested in discovery.

Notwithstanding his continued duty to preserve documents and information, we specifically request that Mr. Dale perform a **full and complete current backup (not exported PDFs) including all audit trails** of his accounting software(s), tax software(s), and any other computer software and files that he created, reviewed, or has in his possession, as well as all email accounts, text messages, iMessages, telephone logs, and other written communications, pertaining to any of the parties named in Plaintiffs' First Amended Petition in the Harris County lawsuit. We would like to confirm that the data as of current (*i.e.*, today or the future date on which the backup takes place) be preserved and that you will retain custody of those backups at this time.

To be clear, we are requesting that the information be preserved—we are not requesting that those backups be produced to us at this time. Please let us know if you or Mr. Dale need any instructions on how the backups can be done. We appreciate you letting us know when you have the backups in your custody. At the same time, if you and/or your client refuse to comply with our request, which we believe is reasonable under the circumstances, we would appreciate you letting us know.

Lastly, please let me know if you have any availability to talk today. I should be free pretty much all day.

Thanks!

Ex. 10, Email Corresp. re Baybrook at pp. 1-2; *Aff. Whiddon (TRCP 692)* at ¶ 32.

In response, however, Mr. Stein completely ignored (and continues to ignore) Plaintiffs' preservation request and solely addressed their request to supplement—

Subject: Re: Gurry v. Dale - Baybrook Warehouse I, LLC - Follow Up

Date: Wednesday, January 15, 2025 at 6:13:47 PM Central Standard Time

From: Josh Stein <josh.stein.esq@gmail.com>

To: Victoria Whiddon <victoria@sovanylaw.com>

CC: Herrick Sovany <herrick@sovanylaw.com>, Regina Cuesta <regina@sovanylaw.com>

We've already provided all information in Jay Dale's possession which is responsive to your requests and not covered by privilege. I have no additional documents to supplement the discovery response.

Ex. 10, Email Corresp. re Baybrook at p. 1; *Aff. Whiddon (TRCP 692)* at ¶ 32.

In light of Mr. Stein’s response, coupled with JAY DALE’s repeated defiance of the Agreed TI (and, frankly, the Texas Rules of Civil Procedure). The question now is whether JAY DALE (and/or Mr. Stein) was thwarting the Court’s order and injunction by way of him having given such information and documents to another party—especially when he knew of destruction being imminent!

As previously discussed, JAY DALE has not, at any point in time, ever submitted any documents that he has withheld from Plaintiffs on any basis to this Court for an *in camera* review pursuant to the Safeguard Protocol. Instead, JAY DALE attempts to thwart the Agreed TI by asserting “attorney-client privilege” as a basis to withhold documents that are subject to the Agreed TI in an effort to improperly flip the burden on Plaintiffs to compel the production of such documents. Moreover, to date, JAY DALE has indicated no intent to comply with the Agreed TI or the Safeguard Protocol and, by way of his conduct, has forced Plaintiffs to seek additional judicial relief.

Nonetheless, at all times since its issuance, the Agreed TI has been and is still in full force and effect. Under the Agreed TI, it is JAY DALE’s burden to seek relief from the Court pursuant to the Safeguard Protocol with respect to any document that is subject to production under the Agreed TI and from which he believes any privilege or other protection precludes its disclosure. As such, Plaintiffs should not be burdened with compelling JAY DALE to simply comply with the Agreed TI.

7. *Enough is Enough.*

Defendants, and their respective attorneys, have gamed and continue to game the system. So much so that JAY DALE’s occupation seems to change with the wind—he’s an attorney when they seek to protect damaging (or potentially) damaging evidence, but an accountant when

necessary to avoid accountability. Moreover, to justify his actions with respect to his disclosure of documents to third parties (*e.g.*, Mr. Helfand and Lewis Brisbois), JAY DALE has gone so far as to testify that *Jay Gurry*—who has been deceased since July 26, 2020—authorized him to transfer such information! *Ex. 6*, Dale ROG Ans. at pp. 3, 8-10 (in response to ROG No. 6 and Interrogatory Requesting Identification of Documents Nos. 26-34).²⁰ Yet, JAY DALE refuses to produce the documents that he gave to Mr. Helfand (or Lewis Brisbois) based on *attorney-client privilege*. *Ex. 5*, Dale RFP Resps. at pp. 18-20 (RFP Nos. 302-219); *see also Ex. 4*, RFP to Dale at pp. 64-67 (RFP Nos. 302-319).

V. CONTEMPT

This Court has jurisdiction over this matter and the powers and authority over this matter and Plaintiffs’ Motion, generally. *See* TEX. GOV’T CODE §§ 21.001 & 21.002. In addition, Rule 692 of the Texas Rules of Civil Procedure, concerning disobedience of an injunction, states:

Disobedience of an injunction may be punished by the court or judge, in term time or in vacation, **as a contempt**. In case of such disobedience, the complainant, his agent or attorney, may file in the court in which such injunction is pending or with the judge in vacation, his affidavit stating what person is guilty of such disobedience and describing the acts constituting the same; and thereupon the court or judge shall cause to be issued an attachment for such person, directed to the sheriff or any constable of any county, and requiring such officer to arrest the person therein named if found within his county and have him before the court or judge at the time and place named in such writ; or said court or judge may issue a show cause order, directing and requiring such person to appear on such date as may be designated and show cause why he should not be adjudged in contempt of court. On return of such attachment or show cause order, the judge shall proceed to hear proof; and **if satisfied that such person has disobeyed the injunction, either directly or indirectly, may commit such person to jail without bail until he purges himself of such contempt, in such manner and form as the court or judge may direct.**

TEX. R. CIV. P. 692 (emphasis added).

²⁰ *See supra* p. 11, n.13 (regarding scrivener’s error on numbering of interrogatories).

In addition, the Texas Government Code authorizes courts to punish contempt by levying a fine of not more than \$500.00 for each act of contempt. TEX. GOV'T CODE ANN. 21.002(b). The purpose of civil contempt is to persuade the contemnor to obey the Court's order. *Ex Parte Hayes*, No. 05-17-00473-CV, 2017 WL 2889047 at *2 (Tex. App.—Dallas July 7, 2017, no. pet.) (mem. op.).

JAY DALE is subject, and has subjected himself, to the jurisdiction and power of this Court and its authority to enforce its orders. JAY DALE answered this lawsuit, appeared at the hearing on Plaintiffs' application for temporary injunction, negotiated and agreed to the Agreed TI in both form and in substance, and had actual notice of the Court's entry of the Agreed TI. The Agreed TI remains in full force and effect as of the date of this Motion. Despite JAY DALE's explicit assent and agreement to the Agreed TI, JAY DALE willfully ignored such orders and has acted in direct violation thereof.

A. Contempt I – JAY DALE's Alteration and Manipulation of Information Subject to the Agreed TI

Despite the Court's unambiguous order in the Agreed TI enjoining JAY DALE and "persons in active concert or participation with them" from engaging in certain activities, JAY DALE has willfully ignored and directly violated it. The Agreed TI specifically prohibits JAY DALE (and anyone acting in active concert or participation with him) altering and/or manipulating, and/or sharing with or disclosing to any third party the information that is described in twenty-six (26) categories. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at pp. 3-11 (a-z).

As previously discussed, JAY DALE has violated the Agreed TI by altering and/or manipulating the following:

1. Form 1065 U.S. Partnership Income Return for BAYBROOK for the 2020 tax year. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 3, ¶ a.vi.; *Ex. 7*, *Aff. Faust* at ¶ 21.

2. Form 1065 U.S. Partnership Income Return for BAYBROOK for the 2021 tax year. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 3, ¶ a.vi.; *Ex. 7*, Aff. Faust at ¶ 21.
3. Form 1065 U.S. Partnership Income Return for BAYBROOK for the 2022 tax year. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 3, ¶ a.vi.; *Ex. 7*, Aff. Faust at ¶ 21.
4. Documents that JAY DALE drafted, prepared, filed, obtained, received, and/or reviewed pertaining to BAYBROOK. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 7; *Ex. 7*, Aff. Faust at ¶ 13, 17-21.
5. Calculations of the basis and/or capital account of each member of BAYBROOK. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 7; *Ex. 7*, Aff. Faust at ¶ 19.

Despite having specifically agreed to refrain from engaging in such conduct, JAY DALE did exactly that—JAY DALE altered and manipulated BAYBROOK’s federal income tax returns (*i.e.*, Form 1065 U.S. Return of Partnership Income) for the 2020-2022 tax years *after* the Court entered the Agreed TI *and then* prepared and twice amended that for 2023! *See Ex. 7*, Aff. Faust at ¶¶ 19 & 21; *Compare Ex. 7.10*, Baybrook Amended II Return at p. 15 *with Ex. 7.12*, Baybrook Amended I Return at p. 18 (reflecting that KEN GURRY’s gross receipts from BAYBROOK for the 2020-2023 tax years, as reported in the Baybrook Amended II Return, are two times the amount reported in the Baybrook Amended I Return). KEN GURRY’s gross receipts for BAYBROOK for the 2020-2023 tax years as reported in the August Production version versus the “08/17/2024” version withheld from production). The changes that JAY DALE made to these tax returns reflect the elimination of KIM GURRY’s membership, 50% ownership interest, and capital account in Baybrook entirely—JAY DALE did this intentionally, knowing full well that he was enjoined from doing so. *Id.* at ¶¶ 17 & 19.

Unbeknownst to Plaintiffs’ Counsel until after Mr. Faust’s discovery, JAY DALE manipulated his responses to Plaintiffs’ requests for production in this case to conceal the fact that

he and KEN GURRY had already altered and manipulated the federal income tax returns for BAYBROOK for the 2020-2023 tax years, including related documents and information, at the apparent direction of KEN GURRY. *See Ex. 7*, Aff. Faust at ¶¶ 14-18 (concerning material alterations to BAYBROOK’s structure and ownership under the “08/17/2024” version of BAYBROOK’s 2023 tax return and JAY DALE’s instruction to Mr. Faust to discuss the matter with KEN GURRY).

It is understandable that JAY DALE could not have included the “08/17/2024” versions of BAYBROOK’s tax returns for the 2020-2023 tax years. Had he done so, then he and KEN GURRY—their continued collusion and misconduct, violations of the Agreed TI, and Hail Mary to force the destruction of material evidence—would have been compromised. You see, the hearing on KEN GURRY’s motion to compel Plaintiffs to destroy documents in the Galveston I Lawsuit was scheduled to be held on **August 23, 2024**...just three days later. *See generally Ex. 8*, Transcript (Galveston I Lawsuit – 2024.08.23).

Unfortunately for JAY DALE (and KEN GURRY), the Galveston Court in the Galveston I Lawsuit did not compel Plaintiffs to destroy any documents and, shortly thereafter, Plaintiffs uncovered a fact that Defendants worked to conceal—KEN (and NEDRA) GURRY’s unilateral conveyance of real property in Harris County belonging to BAYBROOK. As a result, Plaintiffs non-suited the Galveston I Lawsuit and amended their petition in this case, joining KEN GURRY, as well as NEDRA GURRY, as Defendants to this lawsuit right alongside JAY DALE—something of which Plaintiffs advised the Court in the Galveston I Lawsuit, as well as all Parties, that they planned to do. *See id.* at 46:14-18 (“...based on what the Court proposed at the very beginning,

which we [Plaintiffs] proposed, there will be a soon to be filed motion for consolidation of these cases.”).²¹

JAY DALE is an experienced attorney and CPA—he knew exactly what he was doing by withholding the “08/17/2024” version of BAYBROOK’s tax returns for the 2020-2023 tax years from Plaintiffs. He knew that by withholding that particular version and substituting it for another that is consistent with (and not contrary to) BAYBROOK’s true history, he could not only hide his blatant violations of the Agreed TI, but also the conspiracy to further defraud Plaintiffs and cover up KEN GURRY (and NEDRA’s) theft KIM GURRY’s interest in BAYBROOK and of BAYBROOK’s property. Unfortunately for JAY DALE, he got caught. Unfortunately for Plaintiffs, however, the extent of the effect of JAY DALE’s (and others’) flagrant disregard for the Agreed TI and the Texas Rules of Civil Procedure is still unknown.

B. Contempt II – JAY DALE’s Disclosure of Information Subject to the Agreed TI to Third Parties

In addition, and as an alternative basis for contempt, to the foregoing, based on JAY DALE’s answers to interrogatories and responses to requests for production, wherein JAY DALE refuses to produce certain documents that he shared with Mr. Helfand and others on the basis of the attorney-client privilege (which Plaintiffs contend is inapplicable to the facts and circumstances presented by this case), Plaintiffs have reason to believe that JAY DALE has further violated the Agreed TI by sharing and/or disclosing to Mr. Helfand the very documents that he is enjoined from sharing and that such acts of disclosure continued *after* the Court’s issuance of the Agreed TI, of which JAY DALE had notice and, by way of his purported joint representation of KEN GURRY with JAY DALE, of which Mr. Helfand likewise had notice. **Ex. 5**, Dale RFP Resps. at pp. 18-20 (RFP Nos. 302-319); *see also Ex. 4*, RFP to Dale at pp. 64-67 (RFP Nos. 302-

²¹ See *supra* p. 12, n.15.

319); *Aff. Whiddon (TRCP 692) at Ex. B*, RFP Reference Table (showing that 18 of JAY DALE’s 66 assertions of the attorney-client privilege concern documents that he provided to Mr. Helfand/Lewis Brisbois). As if materially altering and/or fabricating federal tax filings were not bad enough, now JAY DALE attempts to hide behind the false front of “attorney-client privilege,” without advising the Court, to justify the withholding and concealment of information that would, in all likelihood, expose the true nature of his deceit and collusion with KEN GURRY.²²

C. Contempt III – JAY DALE’s Failure to Release Information Subject to the Agreed TI

In addition, and as an alternative basis for contempt, to the foregoing, JAY DALE has failed to release, and now refuses to release, the following listed information, in whole or in part, and has failed to abide by the Court’s Safeguard Protocol ordering that JAY DALE advise the Court of the applicability of any potential privilege or confidentiality that would protect any such document from disclosure:

1. Any and all **federal income tax returns** prepared, reviewed, and/or filed by JAY DALE, his agents, servants, employees, or anyone acting in concert with him, including **any and all associated work papers** for **BAYBROOK**. *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at p. 11 (a).
2. Any and all **detailed tax depreciation schedules** that JAY DALE, his agents, servants, employees, or anyone acting in concert with him, **prepared, reviewed, and/or used in any tax filings** with any governmental agency, **or** with which JAY DALE, his agents, servants, employees, or anyone acting in concert with him, **provided to any person**, pertaining to **BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at pp. 11-12 (b).
3. Any and all **permanent files** (*e.g.*, company agreements, buy-sell agreements, transfers of ownership, corporate resolutions, etc.) in the possession, custody, and/or control of JAY DALE, his agents, servants, employees, or anyone acting in concert with him, for **BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 12 (d).
4. All **back-up copies for any and all electronically-stored accounting ledger files** (*e.g.*, Peach Tree, QuickBooks, Quicken, Sage, etc.) in the possession,

²² To the extent that JAY DALE or KEN and/or NEDRA GURRY claim attorney-client privilege, such privilege is destroyed under Rules 503(d)(1), (3), and/or (5) of the Texas Rules of Evidence.

- custody, and/or control of Defendant JAY DALE, his agents, servants, employees, or anyone acting in concert with him, pertaining to **BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 13 (f).
5. Any and all **work papers created, prepared, redlined, and reviewed** by Defendant JAY DALE, his agents, servants, employees, or anyone acting in concert with him, for **BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 13 (g).
 6. Any and all **communications between JAY DALE** or his agents, servants, employees, or anyone acting in concert with him, **and KEN GURRY, Jay Gurry, Jay Gurry's Estate, and/or BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 14 (m).
 7. All **electronically-stored information** in the possession, custody, and/or control of JAY DALE or his agents, servants, employees, or anyone acting in concert with him, pertaining to **BAYBROOK and/or GURRY MECHANICAL**. *Id.* at *Ex. 1*, Agreed TI at pp. 14-15 (n).
 8. Any **documents drafted, prepared, filed, obtained, received, and/or reviewed** by JAY DALE or his agents, servants, employees, or anyone acting in concert with him, **pertaining to KIM GURRY, Jay Gurry's Estate, and/or BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 15 (o).
 9. Any and all **calculations of the basis and/or capital account of each member, partner, shareholder, or other owner of BAYBROOK** that JAY DALE and/or his agents, servants, employees, or anyone acting in concert with him performed, reviewed, or assisted. *Id.* at *Ex. 1*, Agreed TI at p. 15 (p).
 10. Any and all **executed agreements, contracts, loans, and memorandums of understanding** (including any and all **drafts and redlines** thereto, if any, **and all communications** concerning same) **by, between, and/or among** Jay Gurry's Estate, BAYBROOK, and/or GURRY MECHANICAL. *Id.* at *Ex. 1*, Agreed TI at p. 15 (q).
 11. Any and all **communications and documents evidencing, pertaining to, and/or reflecting the authority** of JAY DALE or his agents, servants, employees, or anyone acting in concert with him, **to draft, prepare, or file any document with any state or federal governmental agency on behalf of BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at pp. 15-16 (r).
 12. Any and all **communications and documents evidencing, pertaining to, and/or reflecting the authority** of JAY DALE or his agents, servants, employees, or anyone acting in concert with him, **to provide accounting, bookkeeping, tax, and/or legal services to or on behalf of KEN GURRY and/or BAYBROOK**. *Id.* at *Ex. 1*, Agreed TI at p. 16 (s).

13. Any and all **communications and documents evidencing communications to and/or from JAY DALE** or his agents, servants, employees, or anyone acting in concert with him, **with any bank and/or other financial institution pertaining BAYBROOK, including any and all attachments** thereto. *Id.* at *Ex. 1*, Agreed TI at p. 16 (t).
14. All **drafts, copies, and metadata pertaining to any other documents drafted, finalized, prepared, redlined, and/or reviewed** by JAY DALE or his agents, servants, employees, or anyone acting in concert with him, **pertaining to KEN GURRY, Jay Gurry, KIM GURRY, NEDRA GURRY, Jay Gurry's Estate, BAYBROOK, GURRY COMMERCIAL, GURRY GROUP, GURRY MECHANICAL, and/or the PARTNERSHIP.** *Id.* at *Ex. 1*, Agreed TI at pp. 16-17 (u).
15. Any and all **documents evidencing the authority** of JAY DALE or his agents, servants, employees, or anyone acting in concert with him, **to communicate on behalf of KEN GURRY, Jay Gurry, KIM GURRY, NEDRA GURRY, Jay Gurry's Estate, BAYBROOK, GURRY COMMERCIAL, GURRY GROUP, GURRY MECHANICAL, and/or the PARTNERSHIP with any other person (e.g., attorneys, banks, financial institutions, governmental agents, taxing authorities, etc.).** *Id.* at *Ex. 1*, Agreed TI at pp. 17-18 (x).
16. All **invoices for services rendered** by JAY DALE for or on behalf of KEN GURRY, Jay Gurry, KIM GURRY, NEDRA GURRY, Jay Gurry's Estate, BAYBROOK, GURRY COMMERCIAL, GURRY GROUP, GURRY MECHANICAL, and/or the PARTNERSHIP. *Id.* at *Ex. 1*, Agreed TI at p. 18 (y).
17. All **payments, records of payment, and documents evidencing any and all payments (whether cash/monetary or in kind)** made to JAY DALE by or on behalf of KEN GURRY, Jay Gurry, KIM GURRY, NEDRA GURRY, Jay Gurry's Estate, BAYBROOK, GURRY COMMERCIAL, GURRY GROUP, GURRY MECHANICAL, and/or the PARTNERSHIP. *Id.* at *Ex. 1*, Agreed TI at p. 18 (z).

In light of JAY DALE's repeated refusal to produce the documents under the Agreed TI or, at the very least, just agree not to destroy, alter, or manipulate evidence, Plaintiffs have justifiable concerns that JAY DALE, with or without the assistance of and/or in collusion with KEN GURRY, has been altering, fabricating, manipulating, disseminating, and/or destroying documents and information that are not only subject to the Agreed TI, but are material to Plaintiffs'

claims against Defendants in this matter. JAY DALE is a repeat offender and his offenses, which are gravely serious in nature, deserve more than just a slap on the wrist.

D. Contempt IV – JAY DALE’s Failure to Abide by the Safeguard Protocol

In addition, and as an alternative basis for contempt, to the foregoing, with respect to the documents that he now apparently claims “attorney-client privilege” protects from production, JAY DALE has failed to abide by the Court’s Safeguard Protocol.

There are at least forty-eight (48) instances in which JAY DALE has failed and/or refused to seek judicial review, as required by the Agreed TI, with respect to information that the Court ordered to be produced, which Plaintiffs further requested by way of requests for production, but that he refuses to produce based on “attorney-client privilege.” *Aff. Whiddon (TRCP 692) at ¶ 35 & Ex. B*, RFP Reference Table; *see supra* p. 11, n.14. JAY DALE, however, has once again failed to comply with the Safeguard Protocol and seeks to have Plaintiffs carry the burden of compelling his production of such documents despite the explicit terms of the Agreed TI, by which he agreed to comply.

Despite his testimony that he is an independent accountant, it is clear that JAY DALE is anything but. If he were an independent accountant, then any communication on which he is copied is a disclosure to a third party because he was independent of his clients. Second, if Defendants are claiming privilege on communications on which he is copied or that he has sent and/or received directly, then he has lied to this Court and has confirmed an exception to the attorney-client privilege under 503(d)(1), (3), and/or (5) of the Texas Rules of Evidence. KEN GURRY failed to intervene in this case and assert the attorney-client privilege or any other right to protect production pursuant to the Agreed TI in this case—he failed to advise the Court independently and by and through his counsel...or even his alleged co-counsel.

Nonetheless, since prior to filing this lawsuit, when KIM GURRY simply asked JAY DALE to provide her with her and the Gurry Entities' files, it has become even more than apparent that JAY DALE, KEN GURRY, and perhaps one of JAY DALE and KEN GURRY's mutual relations (Mr. Helfand) are acting in concert. JAY DALE participated in and facilitated the theft of KIM GURRY's interest in BAYBROOK, which owns and collects rent on the real property for which Gurry Mechanical pays rent. His acts were not an objective transaction recorded by a mere accountant—*they were calculated moves with an objective!*

To be sure, if JAY DALE were an independent and objective accountant, then he would have issued a final Schedule K-1 to KIM GURRY. *Ex. 7*, Aff. Faust at ¶ 17(f). That did not happen. *Id.* What happened is, by matter of operation between KEN and JAY DALE, that they not only unilaterally knocked KIM GURRY and her ownership interest from BAYBROOK but JAY DALE picked up the baton and ran with it—he amended the tax filings for BAYBROOK that purport to alter KIM GURRY's well-known membership interest in BAYBROOK back to even when Jay Gurry was alive! JAY DALE seems to not only be fabricating evidence and a defense to Plaintiffs' claims for himself and KEN (and NEDRA) GURRY, but is impermissibly recreating history.

VI. KEN GURRY

JAY DALE did not act alone in the conduct that forms the basis of this Motion. JAY DALE is in this lawsuit because of KEN GURRY and Mr. Helfand. This is no surprise. JAY DALE's loyalty to KEN GURRY is fundamentally at odds with his loyalty to his other clients and former clients. JAY DALE has conducted himself as an agent and/or facilitator to KEN GURRY and, at all times with regard to the conduct expressly prohibited by the Agreed TI, for the benefit of KEN GURRY. Because KEN GURRY is acting in concert with JAY DALE—whether actual

or constructive—he is subject to the Agreed TI. Therefore, Plaintiffs further request that the Court issue an order compelling KEN GURRY to appear and show cause why he should not be adjudged in contempt of court.

VII. RESERVATION OF MOTION AS ALTERNATIVE TO SEEK SANCTIONS

Plaintiffs reserve the right to move the Court to impose sanctions against JAY DALE under Rule 215.2(b)(2), (6), and/or (8) of the Texas Rules of Civil Procedure for his gross discovery abuses and baseless assertions of attorney-client privilege, as described herein, in the form of an order compelling the production of all documents and information subject to the sixty-six (66) requests for production described hereinabove to which JAY DALE withheld documents on the basis of the attorney-client privilege, as well as an award in favor of Plaintiffs against JAY DALE for the amount of their reasonable attorneys' fees and costs incurred in obtaining such relief. Plaintiffs reserve such request for relief, if necessary, until such time as further notice and conference may be had separate and apart from the request of this Court and the provisions set forth in Rule 692 of the Texas Rules of Civil Procedure.

VIII. CONCLUSION

JAY DALE's dilatory tactics, including games with "privilege" and versions of documents aimed to thwart the Agreed TI and delay this litigation, have prevented Plaintiffs from properly preparing their case for trial. Plaintiffs have been fighting baseless issues with JAY DALE, as well as KEN GURRY and Mr. Helfand, just to stop them from destroying documents and information that are not only paramount to Plaintiffs' claims in this case but are in large part exclusively the property of KIM GURRY—***not KEN GURRY or NEDRA GURRY.***

Perhaps what is most concerning about JAY DALE's conduct, when coupled with that of

KEN GURRY, is that JAY DALE affirmatively represented, and apparently foreshadowed, to the Court that he “would alter, destroy, conceal, and/or censor the contents in Plaintiffs’ legal and accounting client files, as well as email correspondence, or allow someone to gain access and do so” and “cause harm to [KIM]’s property and/or further expose her to potential personal liability.” *Aff. Whiddon (TRCP 692) at Ex. 1*, Agreed TI at Agreed TI at pp. 2-3. This is exactly what JAY DALE has done, and he even went so far as to try to get the endorsement of the Galveston Court in the Galveston I Lawsuit. *See generally Ex. 2*, *Aff. Helfand*; *Ex. 3*, Ken Gurry’s Mot. to Destroy (2024.06.12).

KIM GURRY sought relief from this Court to prevent any destruction, alteration, manipulation, and/or disclosure to third parties of information related to her at the express direction of Mr. Helfand and the Gurry Entities following JAY DALE’s refusal to release such information to her because she anticipated that something malicious was looming. Never did she imagine that JAY DALE would completely disregard an order issued by this Court, much less one to which he agreed to form and substance, and, among other things, that he would alter documents to amend the status quo of the documents that have the net effect of stealing her membership interest in BAYBROOK and the real property which it owns—all for the benefit of KEN GURRY and to the direct detriment of KIM GURRY.

As a result of such conduct, Plaintiffs are left with no choice but to seek judicial intervention for the enforcement of the Agreed TI against JAY DALE and KEN GURRY, especially in light of the severity of the tax return issue discussed hereinabove, and since Plaintiffs are only currently aware of such alteration of filing with government entities as to BAYBROOK. Plaintiffs do not know what else is happening with the cloak-and-dagger approach that JAY DALE and KEN GURRY are taking, which runs directly afoul of the Agreed TI. JAY DALE’s conduct

in failing to abide by the Agreed TI very well may expand far beyond BAYBROOK's tax filings.

Specifically, Plaintiffs request that the Court hold JAY DALE in contempt of court for his failures to produce and/or seek judicial review of the information ordered to be released to KIM GURRY under the Agreed TI, and enter an order of contempt against JAY DALE for each act of contempt and assess monetary fines against JAY DALE in the amount of \$500.00 for each such act, and award Plaintiffs the amount of their reasonable attorney fees and costs incurred in the preparation and prosecution of this Motion.²³

Plaintiffs further request that this Court hold both JAY DALE and KEN GURRY in contempt of court for altering documents that directly affect KIM GURRY's interest in BAYBROOK and the concerted conduct in covering up the transfer of real property that BAYBROOK owned to the Kenneth and Nedra Gurry Revocable Trust. Without the power and exercise of contempt over both JAY DALE and KEN GURRY, Plaintiffs submit to this Court that JAY DALE and KEN GURRY are currently working in concert to position themselves to further the retaliatory actions against KIM GURRY by way of disregarding the leases in place and evicting GURRY MECHANICAL from the premises that BAYBROOK owns (at issue in this lawsuit) and the office building which it leases from KEN and NEDRA GURRY by and through their assumed name, Baybrook Industrial Park.

JAY DALE's continued evasive and intentionally dilatory tactics, especially with respect to his refusal to release the documents and information or even comply with the Safeguard Protocol under the Agreed TI, have caused Plaintiffs to incur substantial, additional attorneys' fees and costs that would not have been necessary but for JAY DALE's non-compliance with the Agreed TI and Texas Rules of Civil Procedure, generally.

²³ Plaintiffs will supplement with the amounts thereof.

Accordingly, Plaintiffs request that the Court use the equitable and legal process and authority to hold JAY DALE in contempt of court for his flagrant violations of the Agreed TI and repeated refusal to comply with the Court's Agreed TI.

PRAYER

WHEREFORE, PREMISES CONSIDERED, Plaintiffs pray that Defendants JAY DALE and KEN GURRY be cited to appear before the Court and show cause as to why each should not be held in contempt of Court for violations of this Court's Agreed Temporary Injunction and why each should not be incarcerated for not more than six (6) months for violations of Court's Agreed Temporary Injunction and/or fined not more than \$500.00 for each and every violation of this Court's Agreed Temporary Injunction or as the Court finds appropriate, and thereafter confined and fined not more than \$500.00 for each and every violation of this Court's Agreed Temporary Injunction, and that the Court enter an award of attorneys' fees and costs in Plaintiffs' favor against JAY DALE, and for such other and further relief as may be suitable in law or in equity.

Respectfully submitted,

/s/ Victoria G. Whiddon

Herrick L. Sovany
State Bar No. 27037533
Victoria G. Whiddon
State Bar No. 24103474
Janet P. Hansen (Of Counsel)
State Bar No. 01933600
SOVANY LAW FIRM
3700 Buffalo Speedway, Suite 650
Houston, Texas 77098
Tel. No.: 713.300.5156
Fax No.: 713.229.8545
herrick@sovanylaw.com
victoria@sovanylaw.com

— and —

Laurel M. Smith
State Bar No. 24113488
KEAN | MILLER, LLP
711 Louisiana Street, Suite 1800
Houston, Texas 77002
Tel. No.: 713.844.3080
Fax No.: 713.844.3030
e-serve@keanmiller.com (*e-service only*)

ATTORNEYS FOR PLAINTIFFS

CERTIFICATE OF CONFERENCE

I certify that on January 13, 2025, at a hearing before the Court, the Court requested that Plaintiffs file said motion in the presence of Defendants' counsel. Plaintiffs are filing this Motion and seeking the relief sought as set forth at that hearing.

/s/ Victoria G. Whiddon

Victoria G. Whiddon

CERTIFICATE OF SERVICE

I certify that a copy of this instrument was served pursuant to Rules 21 and 21a of the Texas Rules of Civil Procedure on the 5th day of February 2025 upon all counsel of record by e-service, e-mail, facsimile, mail, and/or delivery service.

/s/ Victoria G. Whiddon

Victoria G. Whiddon

Automated Certificate of eService

This automated certificate of service was created by the eFiling system. The filer served this document via email generated by the eFiling system on the date and to the persons listed below. The rules governing certificates of service have not changed. Filers must still provide a certificate of service that complies with all applicable rules.

Victoria Whiddon on behalf of Victoria Whiddon

Bar No. 24103474

victoria@sovanylaw.com

Envelope ID: 96991918

Filing Code Description: Motion for Contempt

Filing Description: Motion for Enforcement by Contempt and Request for Issuance of Show Cause Order

Status as of 2/5/2025 1:50 PM CST

Case Contacts

Name	BarNumber	Email	TimestampSubmitted	Status
Josh Stein		josh.stein.esq@gmail.com	2/5/2025 1:06:09 AM	SENT
Laurel Smith	24113488	E-serve@keanmiller.com	2/5/2025 1:06:09 AM	SENT
Laurel M.Smith		laurel.smith@keanmiller.com	2/5/2025 1:06:09 AM	SENT
Dawn Garrard		Dawn.Garrard@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Victoria GWhiddon		victoria@sovanylaw.com	2/5/2025 1:06:09 AM	SENT
Herrick LSovany		herrick@sovanylaw.com	2/5/2025 1:06:09 AM	SENT
Bennett Fisher		bennett.fisher@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Bill Helfand		bill.helfand@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Adarsh Annamaneni		adarsh.annamaneni@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Karen Lovely		Karen.Lovely@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Anna Velez		anna.velez@lewisbrisbois.com	2/5/2025 1:06:09 AM	SENT
Regina Cuesta		regina@sovanylaw.com	2/5/2025 1:06:09 AM	SENT